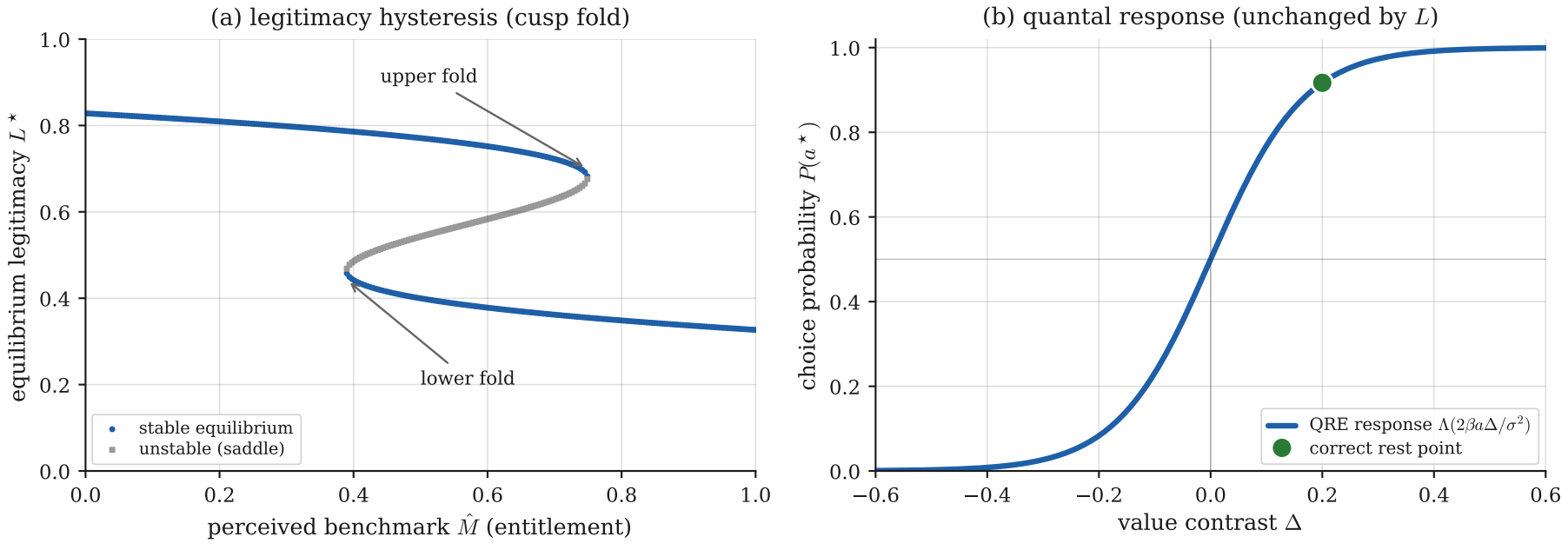
(a) legitimacy hysteresis (cusp fold)
upper fold
lower fold
stable equilibrium
unstable (saddle)
equilibrium legitimacy $L^\star$
perceived benchmark $\hat{M}$ (entitlement)
0.0
0.2
0.4
0.6
0.8
1.0
(b) quantal response (unchanged by L)
choice probability $P(a^\star)$
value contrast Δ
QRE response $\Lambda(2\beta a\Delta/\sigma^2)$
correct rest point
−0.6
−0.4
−0.2
0.0
0.2
0.4
0.6